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TAJUK/ TITLE : CHANGE MANAGEMENT METHODOLOGY

TUJUAN/ PURPOSE :

This Information Sheet will explain about the objective of change management methodology. Change management methodology is system of methods needed in transitioning individuals, teams, and organizations to a desired future state. In a project management context,

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PENERANGAN/ INFORMATION :

1. Appropriate Change Management Methodology

1.1 In today's dynamic business environment, organizational changes and methods of addressing them are prevalent as we seek to stabilize and sustain transformation across locations. The way businesses manage change and how successful they are at it, depends largely on the nature of business, the change and the people involved. It is also dependent on how well the organization and people understand the need for the change and the process involved.

1.2 Applying change management activities can be instrumental in realizing goals for planned and unplanned changes both internally and externally. It also helps diagnose problems associated with the transition before they become a crisis. Therefore, it is essential to first understand some of the theories and methodologies pertaining to change management.

1.3 Managing organizational change starts with understanding how to manage change with a single person. Among the tools available to drive individual change, the ADKAR model developed by Prosci, the world leader in change management research and content creation, is commonly used. ADKAR is an acronym for Awareness, Desire, Knowledge, Ability, and Reinforcement.

1.4 In principle, to make a change successfully an individual needs:

- i) Awareness of the need for change
- ii) Desire to participate and support the change
- iii) Knowledge on how to change
- iv) Ability to implement required skills and behaviors
- v) Reinforcement to sustain the change.

1.5 ADKAR describes successful change at the individual level and outlines the goals or outcomes of successful change. It is an effective tool for planning

change management activities, diagnosing gaps, developing corrective action, and supporting managers and supervisors.

1.6 The theory of change defines the building blocks required to achieve long-term goals. There are many theories on how to conduct change. Many of these theories originate from leadership and change management guru, John P. Kotter. Nevertheless, according to Entrepreneur magazine, all process models are derived from the model of organizational change by Kurt P. Lewin. Another popular and powerful model used to understand the stages of personal transition and organizational change is The Change Curve, attributed to Elisabeth Kübler-Ross.

1.7 Kotter's 8-Step Change Model

- i) Kotter introduced his eight-step change process in his 1996 book, 'Leading Change'. He suggests that for change to be successful, 75 percent of a company's management needs to buy into the change, and he introduces an actionable eight-step process for implementing successful transformations.

Step	Name	Description
Step 1	Establishing a sense of urgency	■ Help others see the need for change and they will be convinced of the importance of acting immediately
Step 2	Creating the guiding coalition	■ Assemble a group with enough power to lead the change effort ■ Encourage the group to work as a team
Step 3	Developing a change vision	■ Create a vision to help direct the change effort ■ Develop strategies for achieving that vision
Step 4	Communicating the vision for buy-in	■ Make sure as many as possible understand and accept the vision and the strategy
Step 5	Empowering broad-based action	■ Remove obstacles to change, change systems or structures that seriously undermine the vision ■ Encourage risk-taking and non-traditional ideas and activities

Step	Name	Description
Step 6	Generating short-term wins	■ Plan for achievements that can easily be made visible ■ Follow-through with those achievements and recognize and reward employees who were involved
Step 7	Never letting up	■ Use increased credibility to change systems, structures, and policies that are not aligned to the vision ■ Hire, promote, and develop employees who can implement the vision ■ Reinvigorate the process with new projects, themes, and change agents
Step 8	Incorporating changes into the culture	■ Articulate connections between new behaviors and organizational success ■ Develop means to ensure leadership development and succession

Figure 1.1 : Kotter's 8-Step Change Model

- ii) Kotter's steps are based on a solid foundation of communication, empowerment, and focus. Following the change, it is important to embed new approaches so that people do not revert to old habits. Monitoring, feedback, and intervention are necessary for a period after the changes have occurred.

1.8 Lewin's 3-Stage Model of Change

- i) One of the cornerstone models for understanding organizational change was developed in 1947 by Kurt Lewin, a physicist and social scientist. His model, which still holds true even today, is known as Unfreeze–Change–Refreeze and refers to the three-stage process of change. He described organizational change using the analogy of the changing shape of a block of ice.

Stage	Description
Unfreeze	■ Prepare the organization to accept that change is necessary ■ Break down existing status quo to build up a new way of operating ■ Develop compelling messages for why the existing way of doing things cannot continue ■ Challenge the organizational beliefs, values, attitudes, and behaviors ■ Expect uncertainty
Change	■ People begin to resolve their uncertainty and look for new ways to do things ■ People start to believe and act in ways that support the new direction ■ They take time to embrace the new direction and participate proactively in the change ■ They need to understand the benefits of the change ■ Realize that not everyone will fall in line just to support the change and its benefit
Refreeze	■ Changes begin to take shape and people embrace the new ways of working ■ Outward signs include a stable organization chart, consistent job descriptions, and so on ■ Changes are internalized or institutionalized through incorporation into everyday business ■ Acknowledgement of people's efforts reinforces their belief in future changes ■ Celebration of the success of the change helps people find closure

Figure 1.2 : Lewin's 3-Stage Model of Change

- ii) Lewin's change model is a simple and easily understood framework for managing change through three distinct stages. It starts with creating the motivation to change (unfreeze) and moves through the change process by promoting effective communication and empowering people to embrace new ways of working (change). The process ends when the organization returns to a sense of stability (refreeze), which is necessary for creating the confidence to embark on the next, inevitable change. Each of the three phases also proposes specific activities that address motivation, implementation, and adherence to organizational changes.

1.9 The Change Curve

- i) The Change Curve is based on a model originally developed in the 1960s by Elisabeth Kübler-Ross to explain the grieving process. It is a powerful model to describe the stages of personal transition involved in most organizational changes. It helps understand how people will react to change, provide assistance for their own personal transitions, and make sure they have the help and support they need. Table 3 lists the behaviors and change actions at every stage of the change curve.

Stage	State	Reaction	Behaviors	Change Actions
Stage 1	Status Quo	Shock/Denial	■ Introduction to change ■ Reaction to challenging the status quo ■ Tendency to react negatively	■ Communicate often since it is a critical stage for communication ■ Avoid overwhelming people ■ Provide tools to access more information ■ Take time to answer questions
Stage 2	Disruption	Anger/Fear	■ Reality sets in ■ Potential fear of the impact ■ Feelings of anger ■ Resist change actively or protest against the changes ■ Some wrongly fear the negative consequences of change ■ Some correctly identify real threats to their position ■ Results in the organization experiencing disruption ■ Cascades into chaos if not carefully managed ■ Change resistance leads to unsuccessful change ■ Stressful and unpleasant stage	■ Plan and prepare carefully ■ Consider the impact and objections that people may have ■ Address early with clear communication and support ■ Take action to minimize and mitigate problems that people will experience ■ Pay close attention to respond to the unexpected
Stage 3	Exploration	Acceptance	■ Pessimism and resistance give way to some optimism and acceptance ■ Acceptance of changes and letting go of what was lost	■ Provide support and training ■ Offer early opportunities to experience what the changes will result in
Stage	State	Reaction	Behaviors	Change Actions
			■ Testing and exploring the impact of changes begins ■ The reality of what is good and not so good and how to adapt to it should be clear	■ Build contingency time so people can learn and explore without too much pressure
Stage 4	Rebuilding	Commitment	■ Accept and embrace the changes ■ Rebuild ways of working ■ Observe the organization begin to reap the benefits of change	■ Track benefits ■ Record lessons learned ■ Celebrate success

Figure 1.3 : The Change Curve

- ii) Knowledge of the Change Curve can minimize the negative impact of the change and help people adapt to it more quickly. The availability of this information and providing the correct navigation can help accelerate change and increase the likelihood of success. As organizations mature, many develop negative patterns, processes, and habits that have led to the creation of an entire industry around organizational re-engineering and change management. There are many theories of organizational change. The one that will work best for an organization will depend on many things, including how resistant the organization is to change.

1.10 Change Management Methodologies

- i) Some researchers place the failure rate of organizational change at as much as 70 percent, an unacceptable high. Consequently, it is not surprising that leaders are looking for ways to reduce the risk and curtail failure. Unfortunately, many leaders believe that simply by using a change management methodology they are 'doing' change management.
- ii) A change management methodology helps a company prepare for planned and unplanned changes. A methodology also helps mitigate risks by creating a blueprint of how to proactively deal with opposition or any other problems that may arise during and after the implementation. The biggest risk is acceptance - Acceptance by employees, staff, management, and stakeholders should be the tomanagerost priority when initiating change.

1.11 Prosci's Change Management Methodology

- i) In 2002, following their third change management benchmarking study, Prosci developed an organizational change management process. It was developed based on research with over 1600 participants over ten years. It is the amalgamation of collective lessons learned by those introducing change around the globe. It is built in steps that a project team can complete for a particular change or initiative supported.

Phases	Description	Notes
Phase 1	Preparing for change	■ Aimed at getting ready. ■ Answers the question, "How much change management does this specific project need?" ■ Provides situational awareness that is critical for effective change management.
Phase 2	Managing change	■ Focuses on creating plans that are integrated into the project activities – what people typically associate with change management. ■ Provides five plans that should be created to help individuals move through the ADKAR model (individual change).
Phase 3	Reinforcing change	■ Reinforcement is most often overlooked ■ Helps project teams create specific action plans for ensuring that the change is sustained. ■ Project teams develop measures and mechanisms to see if the change has been implemented, if employees are doing their jobs the new way, and to celebrate success.

Figure 1.4 : Prosci's Change Management Methodology

- ii) Prosci's methodology integrates individual change management and organizational change management to ensure the achievement of business results. This link between individual change management and organizational change management is a key differentiator from most change management methodologies.

2. Staff Performance Guidelines And Procedures

2.1 Staffing plans

- i) Regardless of what we do in an organization, a staff is required in order to execute work tasks and activities. As a manager, we need to have an adequate staff for executing your project activities.
- ii) Just having the required number of staff members for our project will not help us to successfully execute the project activities. These staff members selected for our project should have necessary skills to execute the project responsibilities as well. In addition, they should

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have the necessary motivation and availability as well. Therefore, staffing of your project should be done methodologically with a proper and accurate plan.

2.2 Understanding the Purpose

- i) Before we start staffing our project, we need to understand the purpose of our project. First of all, we need to understand the business goals for the project and other related objectives. Without we being clear about the end results, we may not be able to staff the best resources for our project.
- ii) Spend some time brainstorming about our project purpose and then try to understand the related staffing requirements. Understand the different skills required for project execution, in order to understand what kind of staff we want.

2.3 Be Precise

- i) Be precise when we prepare our staffing management plan. Make our staffing plan in black and white. Do not include things just to make the people happy. Always include the truth in our plan in a bold way. Whenever required, emphasize the roles and responsibilities of the staff and organizational policies as well. The workforce should be disciplined in order to execute a project successfully. Therefore, we need to include discipline requirements to the staffing plan as well.

2.4 Use a Good Template

- i) When it comes to articulating the plan, we need to use a good template for that. First of all, there are chances that we can find a suitable one from our organization itself. Talk to our peers and see whether there are templates that they have used in the past. In case if our organization has a knowledge management system, search for a template there. Once we get a good template, articulate everything in simple language. The

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audience of the plan is the management and the staff. Therefore, articulation should be clear and simple.

2.5 Making the Connection

- i) Connecting with our staff is the key. By properly connecting, we can measure them for their skills and attitude. Interviewing the staff members is the best way to properly engaging with them. By doing this, we can measure their skills and we can see whether they are suitable for your project requirements. For interviews, we can come up with an interview schedule and a set of critical questions we may want to ask. In case there are things you cannot uncover through interviews, ask assistance from human resource.

2.6 Training

- i) Before we start staffing for the project, we need to know what skills required for our project. This way, we can measure the skills of our potential staff during the interviews. In most instances, we will not find all the staff members with desired skills. In such cases, we will have to request for trainings from the training department. Get applicable staff members trained on required skills in advance to the project commencement.

2.7 Rewards and Consequences

- i) Staffing management plan should be crystal clear about the staff rewards as well as the consequences. The plan should illustrate the rewards in detail and how a staff member or the entire staff becomes eligible for rewards. As an example, early delivery of projects is rewarded by paying a bonus to the staff members, who are involved in the project. This is one of the best ways to keep the staff motivation and focused on the project activities.

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2.8 Considerations

- i) In addition to the above areas, there can be additional considerations. One might be the duration of our staffing requirement. It's very rare that a project will require all the staff during the entire project life cycle. Usually, the staffing requirement varies during different phases of the project. Refer to the following diagram in order to identify the staff variation.
- ii) Usually, during the initial phases of the project, the project requires only a limited number of staff members. When it comes to development or construction, it may need a lot. Again, when it reaches the end, it will require a less number of staff.
- iii) Staffing management plan for a project plays a critical role in project management. Since resources are the most critical factor for executing the project activities, you should be clear about your staffing requirements. Once you know what you want, derive the plan to address the same.

3. Possible Risk Factors

3.1 The objective of the risk, issue and change management component is to give the manager the necessary, stages or objectives.

3.2 In this section both the knowledge and instruments to be able to face any events that might have an impact on the project's products, resources risk management and the issue and change management procedures will be defined as well as the categorisations that can be used to facilitate the identification, assessment and resolution of uncertain or un-forecasted events. These activities are the manager's responsibility and should be performed in a proactive way.

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3.3 The manager should actively monitor the project context and environment to identify any possible threat or opportunity and to deal with any problem that may have an impact on project progress. Additionally the manager must plan how these activities will be performed during the project as well as documenting any standards and policies to be applied.

3.4 The procedures, tools, techniques and responsibilities involved in the risk, issue & change management activities will be documented in the risk and issue management plan created during the project initiation process.

3.5 Both the risk and issue management procedures are a manager's responsibility, however, it is extremely important for their correct application, that the correct people are involved during the various steps of the procedure to help the manager with decision making activities, impact and probability assessments and overall monitoring of the effect of the events on the project objectives to ensure project success.

4. Risk Management

4.1 A risk represents an uncertain event that could have an effect on the project objectives. This uncertainty is measured in terms of the probability of the risk and the possible impact the threat or opportunity might have on the project. The effect of the event on the project could be either beneficial or damaging and for this reason when approaching risk management, which covers both threats and opportunities, the manager should be aware of the differences between threat management and opportunity management.

4.2 Risks need to be identified, assessed, and controlled taking into account the nature of the risk itself, the project context and complexity, and the objective at risk; furthermore, adequate responses need to be planned and where the case might require it implemented. The manager is assisted in carrying out these steps by an appropriate cross-section of project stakeholders.

4.3 Before proceeding with any risk management activity he manager should be aware of the acceptable risk exposure for the project as stated by the Corporate

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or Programme Organisation as this knowledge will provide the basis for any impact analysis that will be performed.

4.4 This level can vary from project to project and is subject to external influences such as legislations, commercial factors, policy, socio-economic considerations or stakeholder involvement-preferences. Since this attitude towards risk taking can be strongly related to subjective preferences the manager should be prepared to review the situation at regular intervals, to make sure the risk management activities he is performing are still in line with the objectives of the project.

i) Identify

- a) Risks need to be identified and recorded in the risk log. All stakeholders, Team Managers and people involved in the project have the responsibility of informing the manager of any Risks which may have an impact on the project's objectives.
- b) Before identifying any risks, the manager leads on the identification of the context of the objectives at risk. The context may be the whole project to identify high-level risks, with a focus on the project plan and interdependencies between stages. If the context is the creation of a stage plan then particular attention should be paid to those risks likely to impact the stage being prepared and the relevant products and objectives.
- c) Once the context has been identified the manager should proceed to identify the known sources for risks. For example the knowledge of an imminent increase in the tax rate from the national bank might help us identify financial risks which we might have not considered. The risk identification step results in a good description of a risk including a description of its source and impact.

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ii) Assess

- a) Once a Risk has been identified the manager should seek the support of appropriate people, stakeholders, project board members in order to ascertain what the probability (the likelihood of the event occurring) and impact (effect of the event on the project's objectives) of the event will be for the project. This includes an impact analysis which takes into consideration all the objectives that might suffer from the occurrence of a risk, paying particular attention to the impact the risk will have on the Business Case and the Plans.
- b) Furthermore the manager should also consider the Proximity value of the risk expressed in temporal terms from the moment the event is identified until the moment in which it will no longer have an impact on the project's objectives and/or benefits (typical proximity categories would be "imminent" "short term" "long term" "post project").
- c) Albeit a manager responsibility, Risk Assessment is performed by the manager in collaboration with the relevant stakeholders who might be called to make decisions regarding plans to respond to risks or who might have the authority to decide what kind of priority risks with a specific strategic, political, socio-economical

iii) Control

- a) Once the probability impact and proximity for a risk have been assessed the manager would work with the stakeholders to plan suitable responses to manage the risk. Actions taken to manage a risk, e.g. actions to reduce the likelihood of it occurring, can give rise to further risks which could impact on the project.
- b) The risk must be kept under control and reviewed regularly to ascertain the continued validity and success of the planned response or else to plan a new action.

iv) Respond

a) Responses to risks are of two types: Proactive responses (implemented regardless of the risk occurring or not and often aimed at avoiding or reducing the chance of it ever occurring) and Reactive responses (implemented once the risk has occurred).

b) Activities to respond to a risk event must be assessed for their own impact on the project as they may give rise to further risks such as additional costs for the project (some projects may provide for this instance and allow for a risk budget to be added to the project original budget). To facilitate the selection and the assessment of a response impact the manager is encouraged to categorise the responses as follows:

- **Threat Responses**

- Prevent: Eliminates the risk completely
- Mitigate: Reduces the Impact and/or probability of the risk occurring
- Transfer: Transfers the financial impact of the risk on a third party
- Contingency: Provide for an alternative should the risk materialise
- Accept: No response will be implemented

- **Opportunity Responses**

- Exploit: Take advantage of the opportunity
- Improve: Increase the likelihood of the opportunity occurring
- Reject: The opportunity will be discarded.

c) The manager might not have the technical knowledge or skill to manage all the possible risks in a project particularly where the risk is related to technical aspects of the development work.

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v) Funding

- a) The main purpose of conventional business case has always been to obtain funding approval for the financial spend. However, today it is necessary to have comprehensive and robust business case in order to obtain funding. A benefit realization plan has to be developed to ensure the commitment from managers to achieve the intended investment benefits, and also the basis of review of proposed benefit plan when the investment is complete. John, Elizabeth & Joe (2007) developed the 6 steps approach to building more rigorous and robust business cases as follow:-
 - a. Step 1 : Identify business driver and investment objectives
 - b. Step 2 : Identify benefits, measures and owners
 - c. Step 3 : Structure the benefits
 - d. Step 4 : Identify organizational changes enabling benefits
 - e. Step 5 : Determine the explicit value of each benefit
 - f. Step 6 : Identify costs and risks.
- b) It was concluded that following the above steps for business case is not only a way of obtaining funding, it also has other purposes: showing how the benefits depend on business changes as well as technology, gaining commitment to achieving the benefits and enabling the success of the investment to be judged objectively.

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SOALANI/ QUESTIONS :

1. How the manager in the organization manage to change the management successfully?
2. What is Lewin's 3-Stage Model of Change?
3. What is Change Curve?
4. What is Prosci's Change Management Methodology?
5. Why do we need staffing plans?

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